

Other people or companies will buy that asset based on the asset’s net profit multiplied by the assessed multiple.

For example, if you own a manufacturing company that nets \$100,000 and the average multiple for your industry is 6, your asset value is worth \$600,000. Industry multipliers are subject to intense negotiating as they rise and fall with the economy and within industry sectors.

You already might be familiar with “multipliers.” Stocks trading on the public markets define the multiplier for each respective company by the price-to-earnings ratio, or PE. If a company’s stock trades at 10 times PE, investors are purchasing that company at a multiple of 10 times. Price-to-earnings is relevant regardless of whether your company is a small private company or a large publicly traded company: *The valuation of your company is predicated on the subjective PE for your particular industry.*

For example, in my particular Web space, industry multipliers ranged from 2 to 6. For this analysis, let’s use the middle: 4. This means that any time I increased my net profit, *the value of my business increased by a minimum factor of 4, or 400%. 400%! Where can you get a return of 400% in today’s financial market? Are there any mutual funds paying 400%? Forget about today, how about ever?*

In effect, this puts a phenomenal wealth-building tool at your disposal. Since net income, profit, or earnings can determine asset value, I experienced asset growth of 400% every time I increased net profit. For every dollar I earned, the value of my company would increase by a factor of 4, or \$4. If my net profit increased \$500,000 for the year, my company’s valuation increased by \$2 million.

Below is a list of average multiples per respective industry.

Advertising	2.85
Beauty Shops	4.10
Bars/Drinking Places	2.70
Carpet Cleaning	5.22
Computer-Related Services	8.19
Employment Agencies	5.40
Engineering Services	6.32
Gasoline Stations	3.70
Grocery Stores	11.34
Medical Labs	2.62
Misc. Retail Stores	3.62
Patent Owners and Lessors	14.56
Physical Fitness Facilities	3.56
Plumbing/HVAC Services	4.52
Surgical and Medical Equipment	17.32
Used Merchandise Stores	4.92

Source: *Inc.* Magazine, June 2009